

But there is more. The recession that began in the summer of 1990 and continued so obdurately in face of the weekly predictions of recovery was almost certainly caused and was certainly deepened and prolonged by the speculative collapse. Public confidence was shaken, corporate investment was curtailed, troubled banks were forced to restrict lending, workers were discharged and corporate executives and bureaucrats shed. (One does not fire or sack higher-income personnel; in the interest of greater efficiency, they are only shed.)

The end is not yet. Had there been no speculative excess and collapse with their larger economic effect, the political history of 1992 would have been far different. It was the boom and collapse that ended the political career and presidency of George Bush. Without a recession and with a good or even a moderately performing economy, his reelection would have been certain, a cinch. With Herbert Hoover, Mr. Bush stands as one of two Presidents in this century who were destroyed by Wall Street. In politics, as in other matters, one must beware of one's friends.

Not all, it should be said for Bush, will be bad. John Law, who presided at a magisterial level over the great French boom of the early eighteenth century, went dismally into exile. So did some of those in government office who suffered the South Sea Bubble. By contrast, Mr. Bush, as also Mr. Reagan out in California, will have a wholly civilized retirement. In small ways the history of the great speculative boom and its aftermath does change. Much, much more remains the same.